

Cost Model

Project 1: EU AI Act Compliance Advisor. Retrieval-augmented generation on Azure.

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This project has essentially one recurring cost, the Azure AI Search service. The models and storage are cents at portfolio volume. The cost model below records each billable component, its pricing basis, and its estimated cost at single-user test volume, then identifies the single lever that controls the recurring bill.

Component	Pricing basis	Estimated cost at test volume
Azure AI Search, Basic tier	Fixed, per search unit (1 provisioned)	~\$74 / month
Semantic ranker	Per query, with a free monthly allowance	~\$0 (allowance covers test volume)
gpt-5-mini (answer generation)	\$0.25 / 1M input, \$2.00 / 1M output tokens	~\$0.002 per question (~\$2 per 1,000)
text-embedding-3-small	\$0.02 / 1M tokens	One-time corpus embed ~\$0.01; per query negligible
Blob storage (LRS, hot)	~\$0.02 / GB / month	~\$0.00 (corpus is a few MB)
Agentic retrieval (Foundry IQ)	Premium feature, per use, preview	Monitor; minimal at test volume

Assumptions: one search unit on Basic, the single EU AI Act corpus (361 chunks), single-user testing volume, and Global Standard pay-as-you-go rates for the models (the interim deployment). No enterprise support plan is assumed, since none applies to a personal build.

What this means in practice: at the volume this tool will actually handle, the recurring bill is roughly the \$74 search service and almost nothing else. Embedding the entire Act cost about a cent, and a hundred test questions cost around twenty cents of inference. The 10 EUR budget alert will therefore fire on the search service well before anything else matters.

The cost lever

The single cost lever, and the recommendation: the search service bills continuously whether or not it is in use. Once the demo is recorded and the three projects are published, delete the search service to stop the recurring charge; the index can be rebuilt in about an hour from the same PDF if it needs to be live again for an interview. The Free tier is not an option here because it is too small to hold this corpus.

Production cost shape

Production cost shape: at production scale the picture inverts. Test volume is dominated by the fixed search tier, but at real query volumes the model inference and query load dominate instead, and the search service itself would move up to Standard S1 at roughly \$250 / month. The demo economics and the production economics have opposite shapes.